Net Pay and Year-to-Date — And the Date Your First Payroll Cannot Run

Prepared for: Michael Lyman, Owner, Greenway Marijuana **Legal entity:** LYMAN'S MARIJUANA L.L.C. · WA UBI 603 353 555 · EIN 46-4217016 **Slice:** books-37 · **Migrations:** none new (uses 0199, `payroll_ytd_accumulators`) **Screens:** `/admin/books/net-pay` — "Net Pay Walkthrough" under Accounting `/admin/books/ytd` — "Year-to-Date Totals" under Accounting **Date prepared:** 22 August 2026

Read this part first

I have to lead with something you are not going to like, because burying it would be the single worst thing I could do to you.

Your first payroll is scheduled for 1 January 2027. As of today, the system cannot compute it. Ten of the eleven rates a Greenway paycheque depends on have no figure on file that covers that date. This is not a bug I introduced and then failed to fix. It is a calendar problem that has been sitting quietly in your file the whole time, and this slice is the first thing that was capable of seeing it.

Here is the list, exactly as the software reports it:

Rate	What I have on file	Covers 1 Jan 2027?
WA Paid Leave — total premium	2025 and 2026	**No**
WA Paid Leave — employee share	2026	**No**
WA Paid Leave — employer share	2026	**No**
WA unemployment (SUTA) rate	2026	**No**
WA unemployment wage base	2026	**No**
L&I employee hourly rate	2026	**No**
L&I employer hourly rate	2026	**No**
Social Security wage base	2026	**No**
Washington minimum wage	2025 and 2026	**No**
Federal minimum wage	2009 through 2026	**No**
WA Cares premium rate	2026 **and 2027**	**Yes**

One out of eleven. And the one that passes only passes because the statute happens to set that rate every two years instead of every year.

Now — why doesn't the system just carry last year's numbers forward? Every other payroll package on earth would. That is exactly the point, and it is worth two minutes of your time.

Suppose I let it reuse the 2026 figures. Your 1 January cheques compute instantly. Every line adds up. The stub balances to the penny. It looks perfect. And it is wrong, because Washington will have published new Paid Leave premiums, a new minimum wage, and a new L&I rate notice with your experience factor baked into it — and you will have withheld against none of them. You would not find out from the software. You would find out from a notice, months later, for every employee and every cheque in between, with interest.

A refusal costs you an afternoon of gathering paperwork. A confident wrong answer costs you a correction cycle you cannot see coming. So the system stops.

What I need from you, and roughly when:

- **WA minimum wage for 2027** — L&I usually announces around 30 September 2026. Send me the announcement.
- **Your 2027 L&I rate notice** — arrives in December. This one is Greenway-specific: it carries your own experience factor for risk class 6403, so I cannot get it from a public table. It has to be your notice.
- **Your 2027 SUTA rate notice from ESD** — also Greenway-specific, also December, also cannot be looked up.
- **2027 Paid Leave premium split** — ESD publishes it in the autumn.

- **2027 Social Security wage base** — SSA announces mid-October.

The two that genuinely cannot be rushed are the L&I and ESD notices, because they are addressed to you personally and nobody else has them. The moment they land, scan them to me and the date clears.

There is one honest piece of good news buried in that table. If your first payroll were run today — say a 18 December 2026 pay date — **all eleven rates are on file and it computes cleanly.** The machinery works. It is only the 2027 crossing that is dark, and it is dark for a reason that has nothing to do with the code.

What was actually built

Two screens, both under Accounting in the left-hand navigation.

1. Net Pay Walkthrough — `/admin/books/net-pay`

This screen answers one question: **where did the money go between "gross pay" and "what the employee takes home"?** It shows the full waterfall, in order, with the law sitting next to each step.

The first thing on the page is the readiness banner described above — the list of what is missing for 1 January 2027. I put it at the top deliberately. A warning below a beautiful worked example is a warning nobody reads.

Below it is a complete worked cheque. **Every number on it was computed by the same engines a real pay run uses.** Nothing is typed in. The hourly rate is read out of the rate registry with the L&I announcement behind it. I will walk you through it, because the shape of it is the thing worth learning.

2. Year-to-Date Totals — `/admin/books/ytd`

This screen shows each active employee's running totals for the year, and how much room is left before the Social Security wage base cuts off. It also carries a six-step year-end checklist that has to be worked in order before W-2s go out.

You told me the 16 inactive employees are no longer working for you and their data lives in your Sage backups. This screen therefore shows **active employees only**. There is an important caveat on that, and it is in its own section near the end of this report — please read it before January of any year.

The worked cheque, line by line

An employee earning the Washington minimum wage, working two full 40-hour weeks, with one child-support order attached. Pay date 18 December 2026.

Gross pay: $1,370.40 — $17.13 per hour × 80 hours.

Withholding required by law: $217.59

Line	Amount
Federal income tax	$80.60
Social Security	$84.96
Medicare	$19.87
WA Paid Leave	$11.06
WA Cares	$7.95
L&I workers' comp (employee share)	$13.15
Total	**$217.59**

Disposable earnings: $1,152.81

This is the most important number on the page and almost nobody gets it right. It is not gross pay, and it is not take-home pay. It is gross minus *only* what the law forces out. Here is the statute, word for word:

> "*The term 'disposable earnings' means that part of the earnings of any individual remaining after the deduction from those earnings of any amounts required by law to be withheld.*"

> *— 15 U.S.C. §1672(b)*

In plain English: this is the line every garnishment is measured from. Notice what Congress did *not* do — it did not give you a list of qualifying deductions. It gave you a **test**: "required by law." You apply that test to each deduction, one at a time. Get this line wrong and every garnishment computed from it is wrong too, in the same direction, on every cheque, forever.

Garnishment: $288.20

Net pay: $864.61

And the arithmetic closes exactly: $1,370.40 − $217.59 − $288.20 − $0.00 = $864.61. The screen states that reconciliation explicitly rather than leaving you to check it, and a test fails the build if it ever stops balancing.

The defect this slice found in your garnishment engine

This is the part I most want you to see, because it is the kind of error that is invisible from the outside.

The garnishment engine documented its "required by law" bucket as income tax, FICA, Paid Leave and WA Cares — and the comment said **"NOTHING ELSE."** The L&I employee premium was missing from that list.

That sounds like a footnote. Watch what it does.

L&I is $13.15 on this cheque. Leave it out of the required bucket and disposable earnings become $1,165.96 instead of $1,152.81 — $13.15 too high. The garnishment is a percentage of that inflated base, so the creditor takes slightly more than the law allows, out of the pay of someone who is *already* being garnished. It is small on one cheque. It is permanent, it repeats every payday, and it is taken from the person least able to absorb it.

Here is the sentence that settles it, verbatim:

> "*(1) Every employer who is not a self-insurer **shall deduct** from the pay of each of his or her workers one-half of the amount he or she is required to pay, for medical benefits within each risk classification. ... (2) It shall be unlawful for the employer, unless specifically authorized by this title, to deduct or obtain any part of the premium or other costs required to be by him or her paid from the wages or earnings of any of his or her workers, and the making of or attempt to make any such deduction shall be **a gross misdemeanor**.*"
>
> *— RCW 51.16.140(1), (2)*

Read the verb in subsection (1): **shall deduct**. Not *may*. Washington *orders* you to take half the medical-aid premium out of your worker's pay. And subsection (2) makes deducting the *wrong* amount a gross misdemeanor. Something the state compels you to withhold, on pain of a criminal charge, is about as clearly "required by law" as a deduction can possibly get. So it comes out **before** the garnishment limits are applied. It now does.

The federal enforcement agency reads the test the same way:

> "*The amount of pay subject to garnishment is based on an employee's 'disposable earnings,' which is the amount of earnings left after legally required deductions are made. Examples of such deductions include federal, state, and local taxes, and the employee's share of Social Security, Medicare and State Unemployment Insurance tax. It also includes withholdings for employee retirement systems required by law.*"
>
> *— U.S. DOL, Wage and Hour Division, Fact Sheet #30 (Dec. 2024)*

Look at the pattern in their examples. The test is whether the deduction is **compelled**, not who ends up holding the money. They include the employee's share of *state unemployment insurance* — a state-law payroll deduction that is not an income tax at all. Washington's L&I employee premium is the same kind of animal. Same bucket.

One honesty note, which the screen also displays: Fact Sheet #30 says of itself that its contents "do not have the force and effect of law." It is the published view of the division that *enforces* this against employers, on a term the statute leaves undefined. Persuasive, not binding. The screen tags it "agency guidance" rather than "regulation" so you always know which kind of authority you are looking at.

The mirror image — the mistake almost everyone makes

Now the opposite error, and this one is the most common garnishment mistake in payroll:

> *"Deductions **not** required by law — such as those for voluntary wage assignments, union dues, health and life insurance, contributions to charitable causes, purchases of savings bonds, retirement plan contributions (except those required by law) and payments to employers for payroll advances or purchases of merchandise — usually **may not** be subtracted from gross earnings when calculating disposable earnings under the CCPA."*
>
> *— U.S. DOL, Wage and Hour Division, Fact Sheet #30 (Dec. 2024)*

Health insurance. Retirement. Union dues. A payroll advance you are recovering. **None of them reduce the base a garnishment is measured against**, however automatic they look on the pay stub. They come out *after* the garnishment, not before.

Why this trips people: on a pay stub, a health premium sits in the same column as Social Security, in the same font, with the same minus sign. It *looks* identical. But subtract it first and you shrink the base, take too little for the order, and on a **support order the shortfall can become your liability rather than the employee's.** The wrong answer looks completely ordinary, which is exactly why it survives.

The engine now enforces the split, and a test fails if a voluntary deduction ever migrates into the required bucket.

The garnishment ceiling, worked out loud

The order asks for 25% of disposable earnings: 25% of $1,152.81 = **$288.20**.

Support orders are not held to the ordinary 25% ceiling. Two facts pick the real limit:

1. **Does the employee support another spouse or child?** Yes → the cap starts at 50% rather than 60%.
2. **Are there arrears older than twelve weeks?** No → it stays at 50%.

50% of $1,152.81 = **$576.40**. Washington separately caps support withholding at 50% of disposable earnings under RCW 26.18.090(2) — also $576.40. Both apply, and the employee gets the benefit of whichever is stricter.

$288.20 fits comfortably under $576.40, so the full amount comes out. The screen shows this reasoning as prose, not as a bare number, because when a worker asks "why is this much gone?" you need to be able to answer without opening a law book.

Why the engine refuses instead of warning

You will occasionally hit a screen that stops and says it will not compute something. That is deliberate, and this is the statute behind it:

> *"Any employer **or officer, vice principal or agent of any employer** ... who (1) Shall collect or receive from any employee a rebate of any part of wages theretofore paid ... or (2) Wilfully and with intent to deprive the employee of any part of his or her wages, shall pay any employee a lower wage than the wage such employer is obligated to pay ... or (4) Being an employer or a person charged with the duty of keeping any employer's books or records shall wilfully fail ... to show openly and clearly in due course in such employer's books and records any rebate of or deduction from any employee's wages ... Shall be guilty of a misdemeanor."*
>
> *— RCW 49.52.050*

Note the phrase **"officer, vice principal or agent."** This statute reaches *you personally*, Michael — not merely LYMAN'S MARIJUANA L.L.C. Taking money out of somebody's cheque that you were not entitled to take is not a bookkeeping error in this state. It is a misdemeanor.

That is why the engine **refuses** a deduction with no written authorisation rather than taking it and flagging it in a report somebody reads on Monday. A refusal costs you five minutes. The alternative is a wage claim, doubled damages, and your name on it.

There are exactly two lawful exits:

> *"The provisions of RCW 49.52.050 shall not make it unlawful for an employer to withhold or divert any portion of an employee's wages **when required or empowered so to do by state or federal law** or **when a deduction has been expressly authorized in writing in advance by the employee** for a lawful purpose accruing to the benefit of such employee ... PROVIDED, That the employer derives no financial benefit from such deduction and the same is openly, clearly and in due course recorded in the employer's books."*

> *— RCW 49.52.060*

Either the law makes you withhold it, or the employee signed for it **in writing, in advance**, for something that actually benefits them. No third exit.

"In advance" is the part that catches people. Taking the deduction this Friday and collecting the signature next week does not satisfy this — the authorisation has to exist *before the money moves*. There is a narrow extra allowance for medical, surgical and hospital deductions, and note the two conditions riding on it: you must derive **no financial benefit** from the deduction, and it must be recorded openly in the books. A health premium you quietly mark up is outside that exit entirely.

The Year-to-Date screen, and the number that made it necessary

Some payroll limits are **annual**, and a pay run that only knows about itself cannot see them. The clearest example:

> "*The total of boxes 3 and 7 cannot exceed $184,500 (2026 maximum social security wage base).*"
>
> *— IRS Instructions for Forms W-2 and W-3 (2026), Box 3*

Social Security stops once an employee has been paid $184,500 in a calendar year. Nobody at Greenway is close, but the rule is not optional and the system has to be *able* to stop. The only way to know you have crossed an annual figure is to remember what you already paid. That is what this table does, and it is why year-to-date storage was the first job in the queue rather than the fourth.

The screen shows each active employee's remaining room before the ceiling. Two behaviours are worth knowing about, both locked down by tests:

- **At exactly $184,500 the ceiling is reached** — not "above." Equality counts. An off-by-one here would withhold Social Security on a dollar that is exempt.
- **Remaining room never displays as negative.** If a row somehow exceeded the base, room shows zero and the ceiling flags as reached, rather than printing a negative number that looks like an accounting entry.

The wage base is also **passed in as an argument**, never read from the system clock. If you open the 2026 board in March 2027 it still uses the 2026 base. Reading a limit off the wall calendar is how a historical figure silently becomes the current year's.

The three ways the SSA throws a whole year back at you

> "*The SSA will reject Form W-2 electronic and paper wage reports under the following conditions. • Medicare wages and tips are less than the sum of social security wages and social security tips. • Social security tax is greater than zero; social security wages and social security tips are equal to zero. • Medicare tax is greater than zero; Medicare wages and tips are equal to zero.*"
>
> *— IRS Instructions for Forms W-2 and W-3 (2026)*

Each of these is a relationship between two running totals, so the database enforces all three the moment a pay run posts. Medicare wages can never be less than Social Security wages; neither tax can be nonzero while its own wage figure is zero. Catching this in August costs nothing. Catching it at the filing deadline costs a scramble.

The middle bullet is also the reason Medicare and Social Security have separate columns. They are identical up to the wage base and permanently different afterwards — one figure for "wages" would hide that.

The year-end checklist, in order

Six checks, and the order is not decorative. Each one lists what must pass first, and the screen will not let you skip ahead.

1. **The year-to-date totals agree with the pay run lines they came from.** Everything else depends on this. *If it fails:* the report names each figure that disagrees with the stored number, the recomputed number, and the difference. **Understand the difference before rebuilding** — a rebuild makes the numbers agree and destroys the only evidence of what went wrong.
2. **No employee's Social Security wages exceed the wage base.** *If it fails:* the ceiling was missed on a pay run; both the employee's withholding and your match are overstated, and the over-withheld amount must be refunded to the employee **before** the W-2 is issued.
3. **No employee's Medicare wages are below their Social Security wages.** *If it fails:* automatic SSA rejection. Usual cause is the wage base ceiling having been applied to Medicare, which has no ceiling.

4. **No employee shows Social Security or Medicare tax with no wages behind it.** *If it fails:* another automatic rejection. Usually a manual adjustment made to a tax figure without the matching wage figure.
5. **No employer match was booked against Additional Medicare tax.** There is no employer match on the 0.9%. At Greenway's wage levels this should be zero for everyone, so any amount here deserves confirming before it is accepted.
6. **The W-2 totals agree with the four quarterly 941s added together.** This one requires all four above. *If it fails:* the IRS compares these itself and issues a notice when they disagree, whether or not the underlying money was right. **Do not adjust the W-2 totals to force agreement** — if a 941 was wrong, it gets amended.

Five of the six block filing. Only the Additional Medicare check is advisory.

The caveat on "active employees only" — please read this one

You said the 16 inactive employees are gone and their data lives in Sage. The screen honours that: every read filters on `active = true`.

Filtering the screen by active is right. Filtering a filed tax form by active would not be. A W-2 is owed to everyone you paid during the year, including people who quit in March. When the W-2 and 941 slice is built it must read by **tax year**, not by active status, or you will under-report wages and shortcut someone's W-2.

I have written that constraint into the code as a permanent comment so whoever builds that slice cannot miss it. And I built one more safeguard: the board reports a count called `inactiveRowsNotShown`. If there is ever a stored year-to-date row belonging to someone not on the active list, the screen tells you **how many people are being left out** rather than silently omitting them. Hiding a row is fine. Hiding the fact that you hid a row is not.

One more small thing: an employee with no stored row for the year reads as "never paid this year" — which is genuinely different from "paid zero." The screen distinguishes them. And if the database read fails outright, you get an error card that says so plainly. It specifically does **not** show an empty table, because an empty table looks exactly like "nobody has been paid," and those two situations demand opposite responses.

What I got wrong building this, and what I did about it

You have told me these are the most useful part of these reports, so here they are.

1. I nearly deleted a real safeguard to fix a cosmetic failure.

I wrote a test that fails the build if arithmetic like `0.25` ever appears inside a screen file — because a garnishment percentage belongs in the engine where it is tested, never in display code where it isn't. The test immediately went red, and it was matching Tailwind styling names like `mt-0.5` and `bg-white/[0.02]`. Harmless. Not arithmetic.

The obvious fix was to delete the check. That would have been a disaster: it would have removed the only thing standing between us and a hard-coded 25% garnishment rate living in display code where no engine test would ever look at it. So I made the check **sharper** instead. It now blanks out the *contents* of every text string before it looks for arithmetic, so styling names are invisible to it while real numbers are not. Then I added a test proving the check can still fail. It survived, and it got stronger.

2. I suspected a defect and was wrong — evidence beat instinct.

WA Cares was the one rate covering 2027, and my first reaction was that somebody had fat-fingered an end date. I went to check before changing anything, and found the statute sets that premium **biennially**, not annually. The 2027 end date is correct, and there was already a comment warning future maintainers not to "tidy" it. I left it alone. Under your standing rule I do not change a number because it looks wrong — I change it when I can show it *is* wrong.

3. A navigation guard caught me, correctly.

Adding two screens broke a test that pins the exact list of Accounting pages. My instinct was to loosen it to "contains at least." But that test has a comment explaining why it is strict: a loose check notices a page being *added* and completely misses a page being *deleted*. I extended the pinned list to sixteen and recorded why. The strict half stayed strict.

4. I broke my own tests 22 times on purpose.

A test that cannot fail is worse than no test, because it displays a green checkmark while guarding nothing at all. So for every safeguard in this slice, I deliberately broke the thing it protects and confirmed the test caught it — moving the permission check after the data read, dropping the active-employee filter, changing the wage base ceiling from "at or above" to "above,"

hard-coding the garnishment rate, unlinking the navigation, deleting the read-failure branch, and sixteen others. **All 22 turned red. None slipped through.** Then every file wa